

NVIDIA Q4 2025 Earnings Transcript — Blind Sentiment & Directional Score

Manual Baseline Worksheet — earnings of 19 November 2025

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Conventions (sealed before reading)

- **Outputs (exactly four per quarter):** sentiment score from -1 to $+1$; directional signal in {BUY, HOLD, SELL}; structured summary; evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 1.00\%$. Above $+1.00\%$, BUY is correct. Below -1.00% , SELL is correct.
- **Timing rule:** NVIDIA releases after market close ($\sim 4:20\text{pm ET}$), with the earnings call at $5:00\text{pm ET}$. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, and is applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: NVDA price action, after-hours quotes, or post-call analyst takes.
- **Scope of this file:** Q4 2025 — NVIDIA's earnings report released 19 November 2025 (covering the operating quarter ended 26 October 2025), one of the four 2025 NVIDIA prints in this baseline. NVIDIA's own filings label this report fiscal Q3 FY26; this baseline uses plain calendar labels by release date to match the Netflix arm. Scored blind and sealed independently, then verified against the realised overnight move.

Note on the share count. NVIDIA's 10-for-1 split (June 2024) predates this window, so all prices below are as-reported — no adjustment applies anywhere in this file.

Q4 2025 — earnings of 19 November 2025

Company	NVIDIA Corporation (NVDA)
Report	Q4 2025 — for the quarter ended 26 October 2025
Release date	Wednesday 19 November 2025, after close
Earnings call	5:00pm ET
Source transcript	Press release + CFO commentary (investor.nvidia.com) + earnings-call transcript (Motley Fool)
Read mode	cold, transcript only, no price chart or after-hours quote
Time to produce	44 minutes

Source material (read this first)

Note: the print lands mid-selloff, with NVDA more than 10% off its late-October record and “AI bubble” the dominant market narrative. Management spends the call arguing against the market’s thesis, not just reporting numbers.

Headline financials

- Revenue a record **\$57.0B** (+62% YoY, +22% QoQ) vs \$54.92B LSEG consensus — a \$2B+ beat.
- Non-GAAP EPS \$1.30 vs \$1.25 LSEG — beat (GAAP also \$1.30).
- Non-GAAP gross margin 73.6%, **up** 0.9pt QoQ — the promised recovery is arriving on schedule.

Data centre and segments

- Data Center a record \$51.2B (+66% YoY, +25% QoQ) vs ~\$49.1B consensus — beat; net-working \$8.2B, +162% YoY.
- Blackwell Ultra (GB300) now the leading architecture across all customer categories.
- Kress: “The clouds are sold out, and our GPU installed base, both new and previous generations, including Blackwell, Hopper and Ampere, is fully utilized.”
- Gaming \$4.3B (−1% QoQ) — the non-DC business is flat; this is a single-market story at ~90% of revenue.

Margins, supply and cash

- **Q1 2026 gross margin guided up to 75.0% non-GAAP** — the mid-70s exit delivered, as promised back in February.
- Next-year margin language softer: with rising memory/input costs, NVIDIA “will work to try and hold at our gross margins in the mid-70s.”
- The bets ballooned: inventory +32% QoQ to \$19.8B; supply commitments \$50.3B; NVIDIA’s own multi-year cloud commitments doubled to \$26.0B.

China and export controls

- H20 sales “insignificant” at ~\$50M despite licences in hand: “Sizable purchase orders never materialized in the quarter, due to geopolitical issues and the increasingly competitive market in China.”
- Blackwell cannot ship to China; the market is effectively zero and assumed zero.

Capital return

- \$12.7B returned in the quarter; \$62.2B remaining under authorisation; cash and investments \$60.6B.

Forward guide

- Q1 2026 revenue guided to **\$65.0B ±2%** vs \$61.66B LSEG — a massive raise.
- Kress: visibility to **half a trillion dollars** of Blackwell + Rubin revenue from the start of calendar 2025 through the end of calendar 2026 — “and the number will grow.”

Hedges and concerns

- The AI-bubble debate is the quarter’s real subject: Huang addressing it head-on is an unusual, defensive posture for a beat-and-raise of this size.
- The \$500B figure is management-defined “visibility,” not contracted backlog.
- Customer concentration in a handful of hyperscalers who must find end-demand for the chips; NVIDIA’s own balance sheet is increasingly a levered bet on AI capex continuing.
- Next-year margins framed as “try to hold” against rising input costs.

Candidate evidence quotes

1. “Blackwell sales are off the charts, and cloud GPUs are sold out. Compute demand keeps accelerating and compounding across training and inference — each growing exponentially. We’ve entered the virtuous cycle of AI.” — Jensen Huang, press release.
2. “There’s been a lot of talk about an AI bubble. From our vantage point, we see something very different.” — Jensen Huang, call prepared remarks.
3. “We currently have visibility to a half a trillion dollars in Blackwell and Rubin revenue, from the start of this year through the end of calendar year 2026.” — Colette Kress, call prepared remarks.
4. “Revenue is expected to be \$65.0 billion, plus or minus 2%.” — Colette Kress, CFO commentary (the guide).
5. “Sizable purchase orders never materialized in the quarter, due to geopolitical issues and the increasingly competitive market in China.” — Colette Kress, call prepared remarks.
6. “The clouds are sold out, and our GPU installed base, both new and previous generations, including Blackwell, Hopper and Ampere, is fully utilized.” — Colette Kress, call prepared remarks.

Scoring

1. Sentiment score: +0.75. The strongest print of the four by a distance: a \$2B revenue beat, Data Center *re*-accelerating to +25% QoQ at \$51B scale, margins rising into a 75% guide — delivering the February promise — a \$65B guide nearly \$3.5B above the street, and a \$500B two-year visibility claim. The deductions are about the frame, not the numbers: China is a written-off zero, the balance-sheet bets are enormous, and management is now arguing with the market about a bubble — which is itself information.

2. Directional signal: BUY. Everything February taught, applied. The sealed window scores the gap, and the gap prices the print against expectations: this is the biggest beat-and-raise of the year, with margins *rising* into the guide (the exact opposite of the February margin-trough setup that justified the SELL). Whatever the session does with the bubble debate afterwards is a different measurement. On the overnight window, a print this far above the bar gets bought. BUY.

3. Structured summary

- *Data centre and segments.* Overwhelming — a \$51B quarter growing 25% sequentially, sold out across generations.
- *Margins, supply and cash.* The February promise delivered: 73.6% rising to a 75% guide. The cost is a balance sheet now heavily pre-committed to the ramp.
- *China and export controls.* Zeroed out and no longer a swing factor — licences exist, orders don't.
- *Forward guide.* The star of the print: \$65B vs \$61.7B expected, plus a \$500B visibility window — the guide is the rebuttal to the bubble thesis.

4. Evidence quotes

1. “Revenue is expected to be \$65.0 billion, plus or minus 2%.” (the raise)
2. “Blackwell sales are off the charts, and cloud GPUs are sold out.” (demand)
3. “There’s been a lot of talk about an AI bubble. From our vantage point, we see something very different.” (management vs the market — the quarter’s real argument)

— SEALED —

Overnight move and call verification

NVDA close, 19 November 2025 (release day)	\$186.52
NVDA open, 20 November 2025	\$195.95
Overnight move (release close → next open)	+5.06%
NVDA close, 20 November 2025	\$180.64
Same-day return (release close → next close)	−3.15%

Call verification

- HOLD band test: $|+5.06\%| = 5.06\% \geq 1.00\%$, so this is not a HOLD.
- Sign test: $+5.06\% > 0$, so the correct directional call is **BUY**.
- Signal given: **BUY**. Result: **CORRECT**.

Brief reflection. February in mirror image, and the February lesson cashed. The overnight gap did what the print deserved (+5.1%); the session then did what the macro mood demanded, reversing more than eight points to close down 3.2% as the bubble debate swallowed the beat. In February that divergence made a correct thesis into a wrong call; here, separating the two windows — score the gap, not the session — turned the same market behaviour into a right one. Across the two prints, the overnight-vs-session gap totalled ~19 points of divergence. For the study, that is the finding: with NVIDIA in 2025, *what* you measure decides *whether* you were right.